

SUBSCRIPTION BILLING

Revenue and Expense Deferrals



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Deferral

We had a brief discussion on the deferral in the previous part. We will be deep diving into this in details to understand the various scenarios under which we can bring this functionality to use.

Setups

Revenue and expense deferrals parameters

Navigation: **Subscription billing > Revenue and expense deferrals > Setup > Revenue and expense deferrals parameters**

Schedule

Equal amount per period

Values	working	Partial period treatment	Example
Yes	Each period in deferral schedule gets the same amount , regardless of the number of days	Partial periods (first/last) are prorated	Annual subscription \$1,200 over 12 months → \$100 per month. If the first month has 15 days only, amount = \$50 (prorated)
No	Amount for deferral schedule is calculated based on the number of days in the period	Each period's amount varies with days in that month	Annual subscription \$1,200 starting Jan 15 → Jan (16/31 days) = \$619, Feb (28/31 days) = \$1,081 × 28/365?

Sales/Purchase discount deferrals

This setup manages if the Revenue/Expense deferrals and the associated discounts will be managed through separate deferral schedules (and separate accounts).

Option	How it works	Number of deferral schedules	Posting behavior	Example
Separate schedule for discount	Discount tracked separately from purchase/Sales amount	Two schedules	Revenue/Expense posted to expense deferral account; discount posted to discount deferral account	Purchase order: \$1,000, 10% discount (\$100) → Expense \$1,000 deferral + Discount \$100 deferral in separate accounts
Merged discount with revenue	Discount combined with expense	One schedule	Both Revenue/expense and discount posted to same deferral account	Purchase order: \$1,000, 10% discount → Net amount \$900 posted to a single deferral account

Consolidate Prior Periods

This setting controls **how deferral schedule lines are created when the deferral start date is earlier than the transaction (posting) date.**

It affects **schedule line structure only, not the total amount or timing of recognition.**

Example scenario

- **Deferral start date:** 01-Jan-2025
- **Transaction (invoice) date:** 10-Apr-2025
- **Total amount:** 1,200

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- **Deferral period:** 12 months (100 per month)

Setting	How schedule lines are created	Deferral schedule lines (example)
Yes	All periods before April are combined into one line	Jan–Mar → 300 (1 line) Apr → 100May → 100...
No	Each prior period stays separate	Jan → 100Feb → 100Mar → 100Apr → 100May → 100...

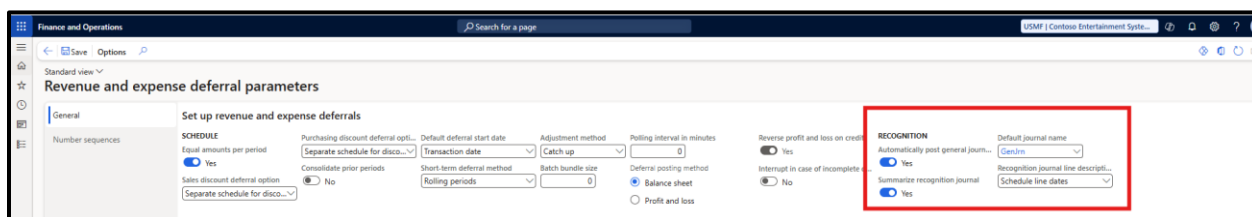
Short-term deferral method

Enum	Meaning in D365 FO	How Deferral Is Determined	Short-term vs Long-term Behavior	Typical Use Case	Example
None	No special deferral logic applied	Recognition strictly follows the deferral template periods	No dynamic short/long split beyond template setup	Simple contracts with clear recognition pattern	Monthly subscription billed monthly and recognized immediately
Rolling periods	Deferral horizon continuously moves forward	Based on “next 12 months from today”	Balance automatically split into short-term and long-term and reclassified each period	Evergreen / auto-renew subscriptions	SaaS billed annually in advance with monthly recognition
Fixed year	Deferral evaluated against a fixed fiscal year end	Based on fiscal year boundary (e.g., Dec 31)	Amount beyond fiscal year is long-term; no rolling re-evaluation until year-end	Year-end contracts and bonuses	Annual maintenance billed in Jan, fully earned by Dec

Default Deferral Start Date

Option	Rule used to set start date
Transaction date	Start on the actual transaction date
Beginning of current month	Always use the 1st of the transaction month
Beginning of next month	If date = 1st → use it; otherwise use next month's 1st
Rule of 15	1st-15th → current month 1st; 16th+ → next month 1st

Recognition



Automatically post general journals: This setting controls whether journal entries created by deferral processes are posted automatically or left unposted for review.

Default Journal name: Select the journal name for journals that are created from revenue and expense deferral processes, such as recognition processing

Summarize recognition journal: Create a single voucher for all recognition lines that have the same date or create a single line for each recognition. Let us assume we are posting this through a batch wherein multiple deferral schedule lines are posted in one journal. Then the summarization will happen on the above logic.

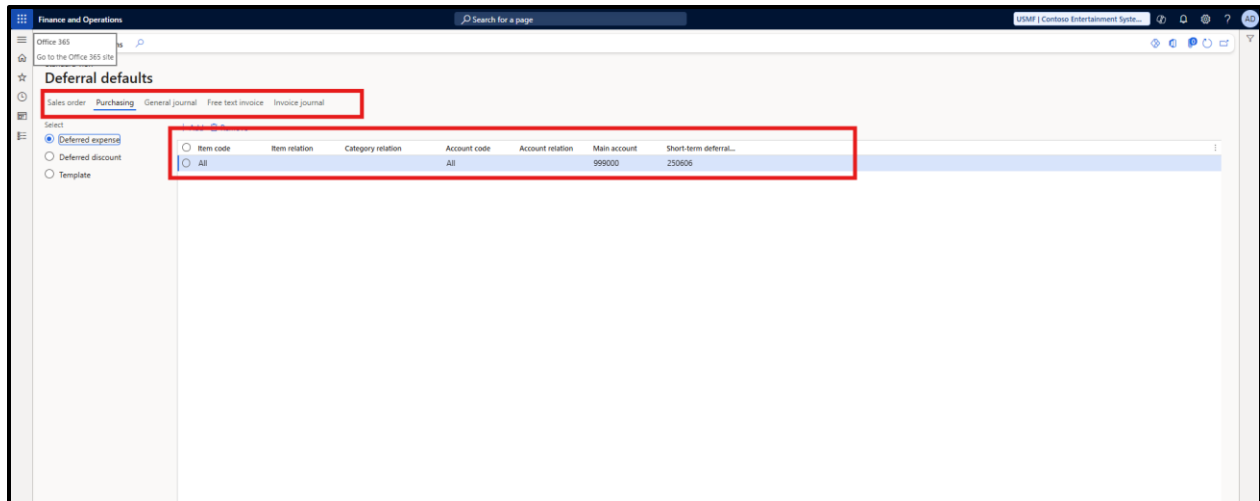
Other Setups

Deferral Defaults

These can be simply understood as posting profile for deferrals.

Navigation: **Subscription billing > Revenue and expense deferrals > Setup > Deferral Defaults**

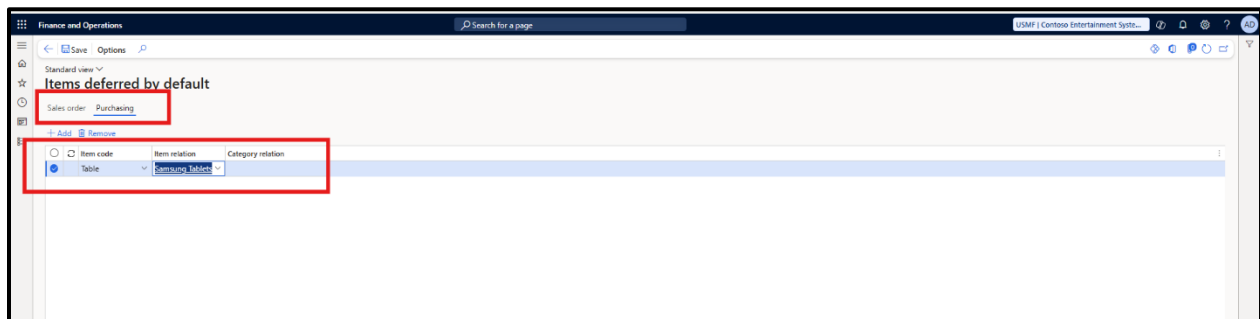
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Items Deferred by Default

Setting up the Item for which the deferral is automatically created

Navigation: **Subscription billing > Revenue and expense deferrals > Setup > Deferral Defaults**

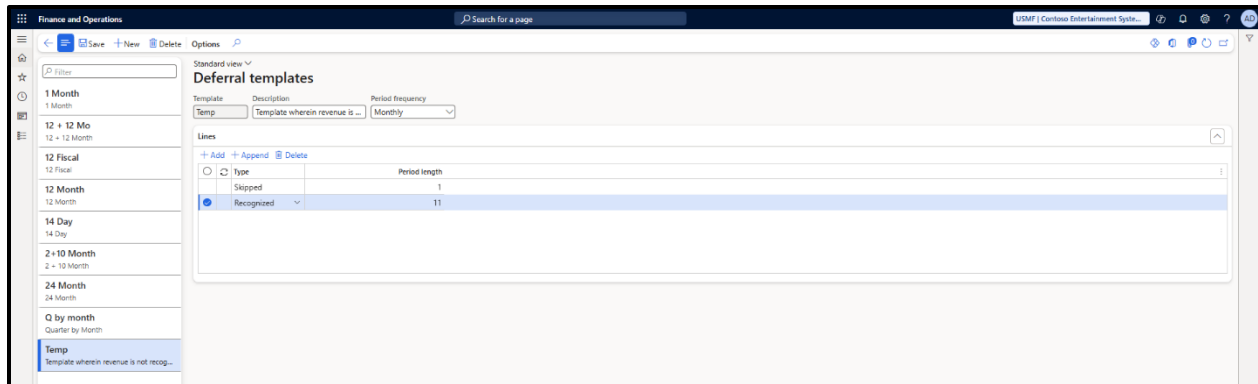


Deferral Templates

The deferral templates defines when how the recognition should happen over a period of time. In the above example, the **Period frequency** is monthly, and the revenue will remain in deferred state for 1st month after billing (as **skipped** period length is 1) and is subsequently realized over a course of next 11 months (**Recognized** is 11). We will make use of the template in the examples

Navigation: **Subscription billing > Revenue and expense deferrals > Setup > Deferral Templates**

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We will review the other setups for Event based Deferral Templates and Deferred charges through an example, later in this document.

Availability D365

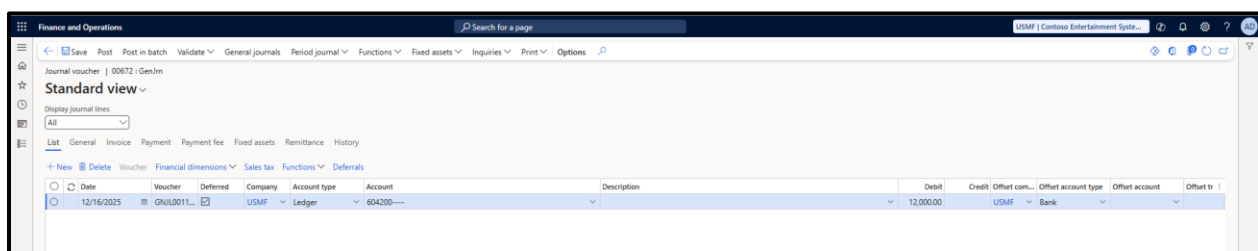
Sample of Expense Deferrals

General Journal - Expense Deferral with Rolling Period

Steps

1. Create a journal with the below entry

Account	Dr	Cr
Deferral(604200)	12000	
Bank(110110)		12000



2. On the Deferral tab, select the short term deferral adjustment account and the actual recognition account. The Deferral schedule has been created for 12 months.

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Finance and Operations

Journal voucher | 00672 | GenJrn

Standard view

Display journal lines

Account name: License & Registrati... Offort account name: Calculated sales tax amount: Actual sales tax amount: Invoice: Due date:

CURRENCY: DEBIT CREDIT BALANCE DEBIT CREDIT BALANCE

VOUCHER 12,000.00 0.00 12,000.00 12,000.00 0.00 12,000.00

JOURNAL 12,000.00 0.00 12,000.00 12,000.00 0.00 12,000.00

Budget check results: Budget check not performed

Transaction deferral

Options

DEFERRAL

Deferred

Yes

Accounts

Type

Account

Deferral account name: License & Registration Fees Expense

Recognition account number: 604500----

Short-term account number: 618700----

Recognition account number: Lease Expense

Deferral account number: 604200----

Short-term account name: Goodwill Impairment

Schedule

DEFERRALS

Schedule type

Straight line

Event based

Equal amounts per period

Yes

Schedule from template

No

Template

Deferral start date: 10/1/2025

Deferral end date: 9/30/2026

STRAIGHT LINE

Consolidate prior periods

No

OK Default Preview

3. Post the Journal and verify the voucher

Finance and Operations

View subledger journal | Transaction origin | Transactions | Audit trail | Edit voucher | Posted sales tax | Original document | Accounting source explorer | Reverse transactions | Reversed tracing | Related vouchers | All related vouchers | View reversal failures | Options

Voucher transactions | 00672 | GNUL001101

Standard view

Overview General

Journal number	Voucher	Date	Year closed	Ledger account	Account name	Description	Currency	Amount in transac...	Amount	Posting type
021733	GNUL001101	10/1/2025		110110-001--	Bank Account - USD		USD	-12,000.00	12,000.00	Bank
021734	GNUL001101	10/1/2025		604200----	License & Registration Fees Expense		USD	12,000.00	12,000.00	Ledger journal

Account	Dr	Cr
Deferral(604200)	12000	
Bank(110110)		12000

4. There may be thoughts that this is the actual entry then where is the deferral. To answer that, there will be an automatic journal entry created and posted which will transfer the balance from the account being deferred to the short term account as shown below. This will ensure that no expense is recognized in the deferred account

Finance and Operations

View subledger journal | Transaction origin | Transactions | Audit trail | Edit voucher | Posted sales tax | Original document | Accounting source explorer | Reverse transactions | Reversed tracing | Related vouchers | All related vouchers | View reversal failures | Options

Voucher transactions | 00673 | GNUL001102

Standard view

Overview General

Journal number	Voucher	Date	Year closed	Ledger account	Account name	Description	Currency	Amount in transac...	Amount	Posting type
021734	GNUL001102	10/1/2025		618700----	Goodwill Impairment	Short-term deferral adjustment	USD	12,000.00	12,000.00	Ledger journal
021735	GNUL001102	10/1/2025		604200----	License & Registration Fees Expense	Short-term deferral adjustment	USD	-12,000.00	12,000.00	Ledger journal

Account	Dr	Cr
Deferral(604200)		12000
Short term (618700)	12000	

5. For the recognition to happen navigate to: **Subscription Billing > Revenue and Expense Deferrals > Deferrals Schedule**

Finance and Operations

USMF | Contoso Entertainment System...

Accounting: Modify schedule, Modify account, Audit trail; Hold: Place hold, Remove hold; Cancel: Unrecognized amounts, Complete schedule

All deferral schedules | Standard view

USMF-000000016 : General journal

Schedule header

SCHEDULE	Schedule type	ACCOUNT	Recognition type	TRANSACTION	EXTERNAL REFERENCES	TOTALS	
Deferral schedule number USMF-000000016	Schedule type Straight line	Deferral account 604200----	Debit	Creation source Standard transaction	External	Long-term deferred 0.00	Stubbed 0.00
Schedule status Active	Description	Short-term deferral account 604300----	Distribution type None	Transaction type General journal	Line number	Short-term deferred 11,000.00	Recognized 1,000.00
	Account number	Recognition account 604500----				Unrecognized 11,000.00	Stubbed and recognized 1,000.00
							Total amount 12,000.00

Schedule lines

Line	Deferral start date	Deferral end date	Amount	Stubbed	Recognized	Recognition date	Journal batch num...	Voucher
1	10/1/2025	10/31/2025	1,000.00		✓	10/31/2025	00674	GNL0011...
2	11/1/2025	11/30/2025	1,000.00					
3	12/1/2025	12/31/2025	1,000.00					
4	1/1/2026	1/31/2026	1,000.00					
5	2/1/2026	2/28/2026	1,000.00					
6	3/1/2026	3/31/2026	1,000.00					

Credit adjustments

Apply Unapply

☐ Invoice Credit deferral sche... Applied a... Applied date User

If the Method is Rolling period, there will not be any long term deferred value if the deferral occurs for a 12 month period. If the deferrals occur for more than 12 months with Rolling period, then there will be long term deferrals value. Upon recognition, the value gets transferred to short term deferral and is subsequently recognized.

Sample Posting for more than 12 months deferrals: -

Finance and Operations

USMF | Contoso Entertainment System...

Journal voucher | 00701 : Genlrm

Standard view

Display journal lines

List General Invoice Payment Payment fee Fixed assets Remittance History

+ New | Delete | Voucher | Financial dimensions | Sales tax | Functions | Deferrals

Date	Voucher	Deferred	Company	Account type	Account	Description	Debit	Credit	Offset com...	Offset account type	Offset account
12/31/2025	GNL0011...	USMF	Ledger	250600----		Recognition entry		750.00	USMF	Ledger	
12/31/2025	GNL0011...	USMF	Ledger	411700----		Recognition-12/22/2025	750.00		USMF	Ledger	
12/31/2025	GNL0011...	USMF	Ledger	999000----		Long term to Short term Deferral adjust		750.00	USMF	Ledger	
12/31/2025	GNL0011...	USMF	Ledger	250600----		Short-term deferral adjustment	750.00		USMF	Ledger	
						Short-term deferral adjustment			USMF	Ledger	

Finance and Operations

USMF | Contoso Entertainment System...

Accounting: Modify schedule, Modify account, Audit trail; Hold: Place hold, Remove hold; Cancel: Unrecognized amounts, Complete schedule

All deferral schedules

Standard view

Filter

Deferral schedu...	Transaction type	Sales order	Variant number	Item number	Charge code	Deferral a...	Schedule status	Recognition type	Customer/Vendor	Invoice
USMF-000000001	Sales order	001013		Samsung Tablets		4,000.00	Active	Credit	US-001	CHI-0000...
USMF-000000002	Sales order	001013		Samsung Tablets		2,100.00	Active	Debit	US-001	CHI-0000...
USMF-000000003	Sales order	001014		Samsung Tablets		4,000.00	Active	Credit	US-001	CHI-0000...
USMF-000000004	Sales order	001014		Samsung Tablets		2,100.00	Active	Debit	US-001	CHI-0000...
USMF-000000011	General journal					12,000.00	Completed	Debit		
USMF-000000012	General journal					12,000.00	Active	Debit		
USMF-000000013	General journal					12,000.00	Active	Debit		
USMF-000000014	General journal					12,000.00	Active	Debit		
USMF-000000015	General journal					12,000.00	Active	Debit		
USMF-000000016	General journal					12,000.00	Active	Debit		

Select the schedule line and click on recognize

Prepared By: Shubham Das

Finance and Operations									
Voucher transactions 00674 - GNU001103									
Standard view									
Overview									
Journal number	Voucher	Date	Year closed	Ledger account	Account name	Description	Currency	Amount in transaction...	Amount Posting type
021735	GNU001103	10/31/2025		604500----	Lease Expense	Recognition-10/31/2025	USD	1,000.00 1,000.00	Ledger journal
021735	GNU001103	10/31/2025		618700----	Goodwill Impairment	Recognition-10/31/2025	USD	-1,000.00 1,000.00	Ledger journal

Account	Dr	Cr
Short term (618700)		1000
Expense (604500)	1000	

Purchase Order

For the PO deferral process, the deferral needs to be enabled on the View Accounting distribution at the time of Invoicing. The accounts are automatically filled from the deferral posting profile for purchase as explained above

Finance and Operations

Search for a page

View subledger journal

Transaction origin

Transactions

Audit trail

Edit voucher

Posted sales tax

Original document

Accounting source explorer

Reverse transactions

Reversed tracing

Related vouchers

All related vouchers

View reversal failures

Options

Voucher transactions | 00674 - GNU001103

Standard view

Overview

General

Journal number

Voucher

Date

Year closed

Ledger account

Account name

Description

Currency

Amount in transaction...

Amount Posting type

Accounting distributions

Vendor invoice header

Vendor invoice lines

Line 1: Samsung Tablets

Extended price 2,000.00 USD

Distributions

Number

Ledger account

Deferred

Amount

Currency

Accounting event

Accounting date

DISTRIBUTION TOTALS

Percent

Amount

Reference information

Current document accounting at...

In process

DOCUMENT INFORMATION

Source document

Purchase order 0000450

Source document line

Line 1: Samsung Tablets

Accounting distribution

1

Transaction deferral

Options

DEFERRAL

Deferred

Yes

Accounts

Deferral account number

999000-001-007-

Short-term account number

250606-001-

Recognition account number

600170-001-007-

Deferral account name

Expense Integration account

Short-term account name

Deferred Rent

Recognition account name

Purchase Expense

Schedule

DEFERRALS

Schedule type

Straight line

Event based

Equal amounts per period

Yes

Schedule from template

No

Deferral start date

12/1/2025

Deferral end date

11/30/2026

STRAIGHT LINE

Consolidate prior periods

No

Template

OK

Default

Preview

On the purchase order invoice line, the status of deferrals will be 'Yes' based on above selection.

Finance and Operations

Vendor invoice | Standard view

Acme Office Supplies

Vendor invoice header

VENDOR Company: USMF Invoice account: 1001 Acme Office Supplies	INVOICE IDENTIFICATION Number: 00000450 Invoice description: Samsung Tablets	RELATED DOCUMENTS Purchase order: 00000450 Product receipt: wdl3e Purchase agreement:	INVOICE DATES Invoice received date: 12/22/2025 Invoice date: 1/21/2026 Date of vendor VAT register:	Posting date: 12/22/2025 Due date: 1/21/2026 INVOICE STATUS DETAILS On hold: No	Match status: Not performed Header budget check results: Budget check not performed Allow matched invoice line quant...: No	INVOICE OVERVIEW STATUS Status: Not applicable Include in automated processing: No	SALES TAX Active sales tax type: Default Vendor charged sales tax: 0.00
---	---	---	--	---	---	---	--

Lines

Quantity	Unit	CW quantity	CW unit	Unit price	Line net a...	Site	Warehouse	Product receipt gu...	Price match	Purchase order	Product re...	Sub
1.00	ea			2,000.00	2,000.00	1	11	Not performed	Not performed	00000450	wdl3e	

Line details

Post the invoice

Analyzing the impact

The Accounting distribution without deferrals

Finance and Operations

Standard view

Subledger journal | 8988 : 1001

Subledger	Ledger name	Posting type	Ledger account	Transaction...	Debit	Credit	Account...	Account...	Reporting ...	Reporting ...
06774	USMF	Vendor balance	132100-001--	USD	0.00	2,000.00	0.00	2,000.00	0.00	2,000.00
06774	USMF	Purchase expenditure for product	600170-001-007-	USD	2,000.00	0.00	2,000.00	0.00	2,000.00	0.00
06774	USMF	Purchase expenditure for product	600170-001-007-	USD	0.00	2,000.00	0.00	2,000.00	0.00	2,000.00
06774	USMF	Cost of purchased materials received	140200-001--	USD	0.00	2,000.00	0.00	2,000.00	0.00	2,000.00
06774	USMF	Purchase expenditure, un-invoiced	600180-001-007-	USD	2,000.00	0.00	2,000.00	0.00	2,000.00	0.00
06774	USMF	Purchase expenditure, un-invoiced	600180-001-007-	USD	0.00	2,000.00	0.00	2,000.00	0.00	2,000.00
06774	USMF	Cost of purchased materials invoiced	140200-001--	USD	2,000.00	0.00	2,000.00	0.00	2,000.00	0.00
06774	USMF	Purchase, accrual	200140-001--	USD	2,000.00	0.00	2,000.00	0.00	2,000.00	0.00

Accounting distribution with deferrals

Finance and Operations

Standard view

Subledger journal | 789 : 1001

Subledger	Ledger name	Posting type	Ledger account	Transaction...	Debit	Credit	Account...	Account...	Reporting ...	Reporting ...
06772	USMF	Vendor balance	132100-001--	USD	0.00	2,000.00	0.00	2,000.00	0.00	2,000.00
06772	USMF	Purchase expenditure for product	999000-001-007-	USD	2,000.00	0.00	2,000.00	0.00	2,000.00	0.00
06772	USMF	Purchase expenditure for product	600170-001-007-	USD	0.00	2,000.00	0.00	2,000.00	0.00	2,000.00
06772	USMF	Cost of purchased materials received	140200-001--	USD	0.00	2,000.00	0.00	2,000.00	0.00	2,000.00
06772	USMF	Purchase expenditure, un-invoiced	600180-001-007-	USD	2,000.00	0.00	2,000.00	0.00	2,000.00	0.00
06772	USMF	Purchase expenditure, un-invoiced	600180-001-007-	USD	0.00	2,000.00	0.00	2,000.00	0.00	2,000.00
06772	USMF	Cost of purchased materials invoiced	140200-001--	USD	2,000.00	0.00	2,000.00	0.00	2,000.00	0.00
06772	USMF	Purchase, accrual	200140-001--	USD	2,000.00	0.00	2,000.00	0.00	2,000.00	0.00

The rule for deferrals remains the same as general ledger and follows similar principles – None, Rolling period and Fixed Year.

Once the invoice is posted, system will post an automatic entry for short term deferrals

Prepared By: Shubham Das

List	General	Invoice	Payment	Payment fee	Fixed assets	Remittance	History
+	New	Delete	Voucher	Financial dimensions	Sales tax	Functions	Deferrals
	Voucher	Deferred	Company	Account type	Account	Description	Debit
	GNUL0011...	USMF	Ledger	999000-001--007-		Short-term deferral adjustment	
	GNUL0011...	USMF	Ledger	250606-001--		Short-term deferral adjustment	2,000.00
							USMF
							Ledger

The deferral schedule is also created.

Deferral schedu...	Transaction type	Sales order	Variant number	Item number	Charge code	Deferral a...	Schedule status	Recognition type	Customer/Vendor	Invoice
USMF-000000024	Vendor invoice			Samsung Tablets		2,000.00	Active	Debit	1001	789

The expense recognition will happen once the recognition happens. Navigate to Deferral schedule and click on recognize to record the same.

Schedule	Description	Short-term deferral account	TRANSACTION	Purchase order	TOTALS	Shubbed
USMF-000000024	Account number 1001	Recognition account 600170-001--007-	Creation source Standard transaction	00000450	Long-term deferred 0.00	0.00
Schedule status Active	ACCOUNT	Recognition type Debit	Transaction type Vendor invoice	Item Samsung Tablets	Short-term deferred 1,833.33	Recognized 166.67
Schedule type Straight line	Deferral account 999000-001--007-	Distribution type Expense	Invoice 789	EXTERNAL REFERENCES External	Unrecognized 1,833.33	Shubbed and recognized 166.67
				Line number	Total amount 2,000.00	

Line	Deferral start date	Deferral end date	Amount	Shubbed	Recognized	Recognition date	Journal batch num...	Voucher
1	12/1/2025	12/31/2025	166.67		✓	12/31/2025	2032	GNUL0011...
2	1/1/2026	12/31/2026	166.67					
3	2/1/2026	2/28/2026	166.67					
4	3/1/2026	3/31/2026	166.67					
5	4/1/2026	4/30/2026	166.67					
6	5/1/2026	5/31/2026	166.67					

The Journal entry upon recognition is explained below

Date	Voucher	Deferred	Company	Account type	Account	Description	Debit	Credit	Offset com...	Offset account type	Offset account
12/31/2025	GNUL0011...	usmf	Ledger	250606-001--		Recognition-12/22/2025		166.67	usmf	Ledger	
12/31/2025	GNUL0011...	usmf	Ledger	600170-001--007-		Recognition-12/22/2025	166.67		usmf	Ledger	

Prepared By: Shubham Das

Bonus

Why is Purchase Expenditure for Product Debited and credited

On Receipt

Account	Dr	Cr
Purchase Expenditure un-invoiced		xxx
Cost of purchase Materials received	xxx	
Purchase Accruals		xxx
Purchase Expenditure uninvoiced	xxx	

On Invoice

Account	Dr	Cr
Cost of purchase Materials invoiced	xxx	
Cost of purchase Materials received		xxx
Purchase Accruals	xxx	
Vendor Balance		xxx
Purchase expenditure Uninvoiced		xxx
Purchase expenditure for Product(Accrued Expense Account)	xxx	
Purchase expenditure Un-invoiced	xxx	
Purchase expenditure for Product		xxx

Over the period of time the expense will be recognized in the Accrued expense account and the short term deferral account balance will be zero.

The process for deferrals remains the same for Sales Order, Free Text invoice (to be navigated through accounting distributions) and Invoice Journals and hence are not being covered in detail.

Users should create an example for each of the above transaction types and verify the understanding.

Deferrals with discount and Consumption (Sales Order)

Scenario: The sales order is created for Samsung tablets with Deferral revenue, Deferral Consumption, and Deferral discount scenario. The unit price for the Tablets is 4000 and the discount offered is 1200.

Transaction deferral

Deferrals

REVENUE	DISCOUNT	CONSUMPTION
Deferral schedule number	Deferral schedule number	Deferral schedule number

Options

DEFERRAL
Deferred
☒ Yes
☐ No

Adjust existing schedule
☒ No

Accounts

Revenue deferral account number	Account number for discount def...	Consumption deferral account n...
401400	600181	500640
Revenue deferral account name	Discount deferral account name	Consumption deferral account n...
Accrued Sales (Shipped Not L...	Discount & Allowances Recei...	Intercompany Cost of Project...
Account number for short-term r...	Account number for short-term r...	Account number for short-term c...
250600	222300	500140
Account name for short-term rev...	Account name for short-term dis...	Account name for short-term co...
Deferred Revenue	Short Term Obligation - Fina...	COGS - Other
Revenue recognition account nu...	Discount recognition account nu...	Consumption recognition account...
401300	401200	500100
Revenue recognition account na...	Discount recognition account na...	Consumption recognition account...
Other Revenues	Discount	COGS - Finished Goods

Schedule

DEFERRALS
Schedule type
☒ Straight line ☐ Event based

Equal amounts per period
☒ Yes ☐ No

Schedule from template
☒ Yes ☐ No

Override start date
☒ No ☐ Yes

Deferral start date

OK **Default** **Preview**

Once the Sales Order is Invoiced, the below postings will happen

Account	Dr	Cr
Cost of Goods Sold Delivered	XXX	
Cost of Units Delivered		XXX
Revenue (Deferred Revenue Account)	XXX	
Customer Balance		XXX
Discount(Deferred Discount Account)		XXX
COGS(Consumption Deferral Account)	XXX	
Cost of Units Invoiced		XXX

The Revenue, Discount and Consumption will be posted in the Deferred account and will be later recognized through the deferral schedules created for each of them

Transaction deferral

Deferrals

REVENUE	DISCOUNT	CONSUMPTION
Deferral schedule number	Deferral schedule number	Deferral schedule number
USMF-000000025	USMF-000000027	USMF-000000026

Options

DEFERRAL
Deferred
☒ Yes ☐ No

Adjust existing schedule
☒ No

Accounts

Revenue deferral account number	Account number for discount def...	Consumption deferral account n...
401400	600181	500640
Revenue deferral account name	Discount deferral account name	Consumption deferral account n...
Accrued Sales (Shipped Not L...	Discount & Allowances Recei...	Intercompany Cost of Project...
Account number for short-term r...	Account number for short-term r...	Account number for short-term c...
250600	222300	500140
Account name for short-term rev...	Account name for short-term dis...	Account name for short-term co...
Deferred Revenue	Short Term Obligation - Fina...	COGS - Other
Revenue recognition account nu...	Discount recognition account nu...	Consumption recognition account...
401300	401200	500100
Revenue recognition account na...	Discount recognition account na...	Consumption recognition account...
Other Revenues	Discount	COGS - Finished Goods

Schedule

DEFERRALS
Schedule type
☒ Straight line ☐ Event based

Equal amounts per period
☒ Yes ☐ No

Schedule from template
☒ Yes ☐ No

Override start date
☒ No ☐ Yes

Deferral start date

OK **Default** **Preview**

Prepared By: Shubham Das

As per examples explained above, the rule of None, Rolling Periods and Year continue to be applied, and automatic journal entries are also posted subsequent to Invoice posting in line with short term deferral method selection.

Voucher	Deferred	Company	Account type	Account	Description	Debit	Credit	Offset com...	Offset account type	Offset account	Offset transaction L...
GNUL0011...		USMF	Ledger	401400-001---	Short-term deferral adjustment	4,000.00					USC
GNUL0011...		USMF	Ledger	250600-001---	Revenue Adjustment		4,000.00				USC
GNUL0011...		USMF	Ledger	500540-001---	Short-term deferral adjustment		2,081.82				USC
GNUL0011...		USMF	Ledger	500140-001---	Consumption Adjustments	2,081.82					USC
GNUL0011...		USMF	Ledger	600181-001---	Short-term deferral adjustment		1,200.00				USC
GNUL0011...		USMF	Ledger	222300-001---	Discount Adjustments	1,200.00					USC

Entries at the time of recognition

Deferral schedule...	Transaction type	Sales order	Variant number	Item number	Charge code	Deferral a...	Schedule status	Recognition type	Customer/Vendor	Invoice
USMF-000000025	Sales order	001060		Samsung Tablets		4,000.00	Active	Credit	US-001	CIW-0000...
USMF-000000026	Sales order	001060		Samsung Tablets		2,081.82	Active	Debit	US-001	CIW-0000...
USMF-000000027	Sales order	001060		BKC Rentals		1,200.00	Active	Debit	US-001	CIW-0000...

Account	Dr	Cr
Deferred Revenue	xxx	
Revenue		xxx

Account	Dr	Cr
Deferred COGS		xxx
COGS	xxx	

Account	Dr	Cr
Deferred Discount		xxx
Discount	xxx	

Deferrals with Charges

Scenario Your company sells a Surface Pro for \$12,000, and a freight charge of \$1,20 is added using charges.

Both costs should be deferred over 12 months.

Finance and Operations

Search for a page

Standard view

Transaction deferral

Adjust existing schedule

☒ No

Accounts

Revenue deferral account number 401100	Account number for discount def... 500100	Consumption deferral account n... 500100
Revenue deferral account name Product Sales	Discount deferral account name COGS - Finished Goods	Consumption deferral account n... COGS - Finished Goods
Account number for short-term r... 250600	Account number for short-term ... 500150	Account number for short-term c... 500150
Account name for short-term rev... Deferred Revenue	Account name for short-term dis... Deferred Revenue	Account name for short-term co... Deferred COGS
Revenue recognition account nu... 411100	Discount recognition account nu... 500140	Consumption recognition accou... 500140
Revenue recognition account na... Revenue - Labor	Discount recognition account na... COGS - Other	Consumption recognition accou... COGS - Other

Schedule

DEFERRALS

Schedule type

☒ Straight line ☐ Event based

Equal amounts per period

☒ Yes ☐ No

Schedule from template

☐ No

Template

Override start date

☒ Yes ☐ No

Deferral start date

12/1/2025

Deferral end date

11/1/2026

STRAIGHT LINE

Consolidate prior periods

☒ No ☐ Yes

OK Default Preview

Application of charge deferrals- At Sales Order line level

Finance and Operations

Search for a page

Standard view

Transaction deferral

Options

DEFERRAL

Deferred

☒ Yes ☐ No

Accounts

Charge deferral account number 250606	Account number for short-term c... 212100	Charge recognition account num... 403500
Charge deferral account name Deferred Rent	Account name for short-term ch... Short Term Interest Payable	Charge recognition account name Freight - Outbound

Schedule

DEFERRALS

Schedule type

☒ Straight line ☐ Event based

Equal amounts per period

☒ Yes ☐ No

Schedule from template

☐ No

Template

Override start date

☒ Yes ☐ No

Deferral start date

12/1/2025

Deferral end date

11/30/2026

STRAIGHT LINE

Consolidate prior periods

☒ No ☐ Yes

OK Default Preview

Finance and Operations

Search for a page

USMF | Contoso Entertainment System

Standard view

Deferral sched...	Transaction type	Sales order	Variant number	Item number	Charge code	Deferral a...	Schedule status	Recognition type	Customer/Vendor	Invoice
USMF-0000000001	Sales order	000860		1000		2,400.00	Active	Credit	US-001	CIW-0000...
USMF-0000000002	Sales order	000860		1000		901.40	Active	Debit	US-001	CIW-0000...
USMF-0000000003	Sales order	000860		1000	FREIGHT	120.00	Active	Credit	US-001	CIW-0000...

The short term deferrals are posted automatically as two separate journals:

1. Deferred Revenue and Consumption

Date	Voucher	Deferred	Company	Account type	Account	Description	Debit	Credit	Offset com...	Offset account type	Offset account	Offset transaction L...	Currency
12/23/2025	GNJL0010...		usmf	Ledger	401100-001---	Short-term deferral adjustment	2,400.00		usmf	Ledger			USD
12/23/2025	GNJL0010...		usmf	Ledger	250600-001-	Short-term deferral adjustment		2,400.00	usmf	Ledger		Revenue to Short Term adjustment	USD
12/23/2025	GNJL0010...		usmf	Ledger	500100-001---	Short-term deferral adjustment		901.40	usmf	Ledger		COGS to Short Term adjustment	USD
12/23/2025	GNJL0010...		usmf	Ledger	500150-001---	Short-term deferral adjustment	901.40		usmf	Ledger			USD

2. Deferred Charges

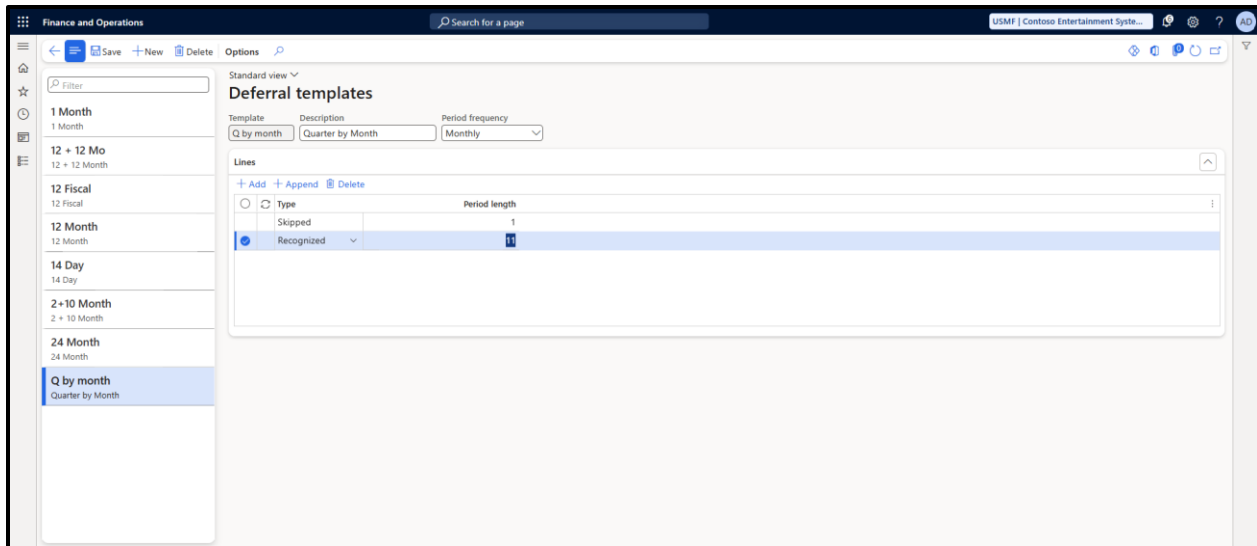
Date	Voucher	Deferred	Company	Account type	Account	Description	Debit	Credit	Offset com...	Offset account type	Offset account	Offset transaction L...
12/23/2025	GNJL0010...		usmf	Ledger	250600-001-	Short-term deferral adjustment	120.00		usmf	Ledger		Short Term Deferral Charge Adjustments
12/23/2025	GNJL0010...		usmf	Ledger	212100-001-	Short-term deferral adjustment		120.00	usmf	Ledger		

Recognition remains the same as explained in Previous examples. For Simplicity and recall, the charge recognition entry is put below

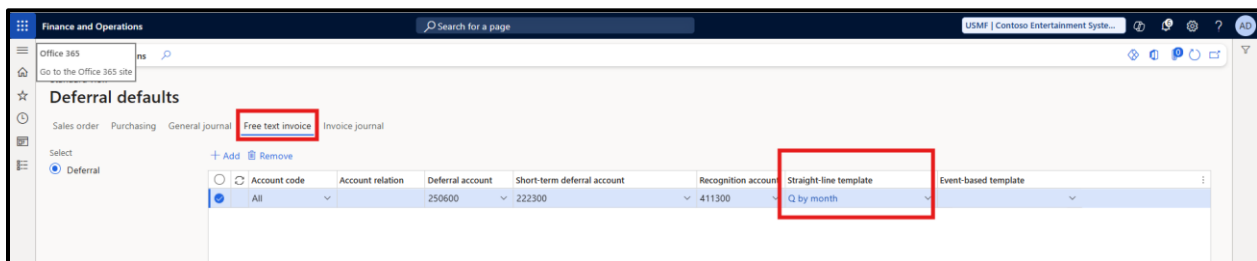
Date	Voucher	Deferred	Company	Account type	Account	Description	Debit	Credit	Offset com...	Offset account type	Offset account	Offset transaction L...
12/31/2025	GNJL0010...		usmf	Ledger	212100-001-	Recognition-12/23/2025	10.00		usmf	Ledger		
12/31/2025	GNJL0010...		usmf	Ledger	403500-001---	Recognition-12/23/2025		10.00	usmf	Ledger		

Deferrals using Templates (Straight line templates using Free Text)

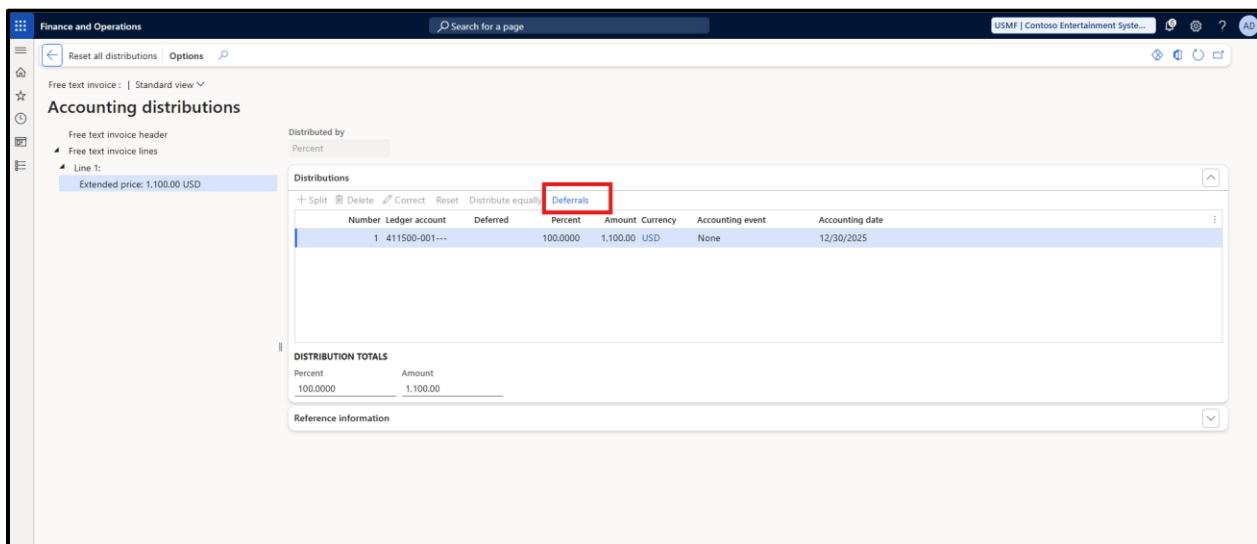
The template we have picked for this scenario is a 11+1 template, wherein the first month is skipped for recognition and the same begins from the second month of invoicing.



We are using the Free text invoice as transaction to explain the deferral. The default setups are done for Deferral defaults for Free text invoice



Similar to the Purchase Order, the Deferrals for Free text invoice can happen through the accounting distributions screen only as shown below.



The deferral templates are selected. The end date for the Deferral gets automatically selected based on schedule.

The Deferral schedule preview shows that the first schedule is skipped as shown below.

Standard view ▾

Deferral schedule preview

Schedule lines

Filter

Line	Start date	End date	Amount
2	12/1/2025	12/31/2025	0.00
3	1/1/2026	1/31/2026	100.00
4	2/1/2026	2/28/2026	100.00
5	3/1/2026	3/31/2026	100.00
6	4/1/2026	4/30/2026	100.00
7	5/1/2026	5/31/2026	100.00

Skipping for 1st month and schedule for recognition for the rest 11 months based on template

Posting results for Free text invoice

	Lider account	Account name	Description	Currency	Amount In...	Amount	Posting type
	411500-001----	Revenue - On Account	Free text invoice	USD	-1,100.00	1,100.00	Customer revenue
	130100-001----	Accounts Receivable - Domestic	Free text invoice	USD	1,100.00	1,100.00	Customer balance

The automatic entry for short term deferral adjustment gets posted automatically (similar to the deferral cases explained above)

Date	Voucher	Deferred	Company	Account type	Account	Description	Debit	Credit	Offset com...	Offset account type	Offset account	Offset transaction
11/30/2025	GNJL0010...	USMF	Ledger	411500-001----	Short-term deferral adjustment	1,000.00			USMF	Ledger		
11/30/2025	GNJL0010...	USMF	Ledger	250600-001----	Short-term deferral adjustment		1,000.00		USMF	Ledger		

Why the Short term deferral adjustment happens for \$1000 and not \$1100?

Concept of Rolling periods. The initial adjustment will happen for the rolling 12 months. Since this schedule contains 13 lines, the long term deferral is for 1 month.

Line	Deferral start date	Deferral end date	Amount	Stubbed	Recognized	Recognition date	Journal batch num...	Voucher
8	6/1/2026	6/30/2026	100.00		✓	2/28/2025	00649	GNJL0010...
9	7/1/2026	7/31/2026	100.00		✓	2/28/2025	00649	GNJL0010...
10	8/1/2026	8/31/2026	100.00		✓	2/28/2025	00649	GNJL0010...
11	9/1/2026	9/30/2026	100.00		✓	2/28/2025	00649	GNJL0010...
12	10/1/2026	10/31/2026	100.00		✓	2/28/2025	00649	GNJL0010...
13	1/1/2026	11/30/2026	100.00		✓	2/28/2025	00649	GNJL0010...

When the first recognition will happen, the adjustments happen for short term deferrals and then the recognition happens

Finance and Operations

Search for a page

USMF | Contoso Entertainment System...

Schedule lines processed: 1

Accounting | Schedule | Options

Accounting: Modify schedule, Modify account, Audit trail | Hold: Place hold, Remove hold | Cancel: Unrecognized amounts, Complete schedule

All deferral schedules | Standard view

USMF-000000004 : Free text invoice

Schedule lines

Line	Deferral start date	Deferral end date	Amount	Stubbed	Recognized	Recognition date	Journal batch num...	Voucher
1	11/30/2025	11/30/2025	0.00					
2	12/1/2025	12/31/2025	0.00					
3	1/1/2026	1/31/2026	100.00		✓	1/31/2026	00666	GNIL0010...
4	2/1/2026	2/28/2026	100.00					
5	3/1/2026	3/31/2026	100.00					
6	4/1/2026	4/30/2026	100.00					

Credit adjustments

Apply | Unapply

Invoice | Credit deferral sche... | Applied a... | Applied date | User

Ledger Postings

Finance and Operations

Search for a page

USMF | Contoso Entertainment System...

Journal voucher | 00666 : GenJm

Standard view

Display journal lines

All

List | General | Invoice | Payment | Payment fee | Fixed assets | Remittance | History

+ New | Delete | Voucher | Financial dimensions | Sales tax | Functions | Deferrals

Date	Voucher	Deferred	Company	Account type	Account	Description	Debit	Credit	Offset com...	Offset account type	Off
1/31/2026	GNIL001099		USMF	Ledger	250600-001-	Recognition-12/30/2025	100.00		USMF	Ledger	
1/31/2026	GNIL001099		USMF	Ledger	411300-001---	Recognition-12/30/2025		100.00	USMF	Ledger	
1/31/2026	GNIL001100		USMF	Ledger	411500-001---	Short-term deferral adjustment	100.00		USMF	Ledger	
1/31/2026	GNIL001100		USMF	Ledger	250600-001-	Short-term deferral adjustment		100.00	USMF	Ledger	

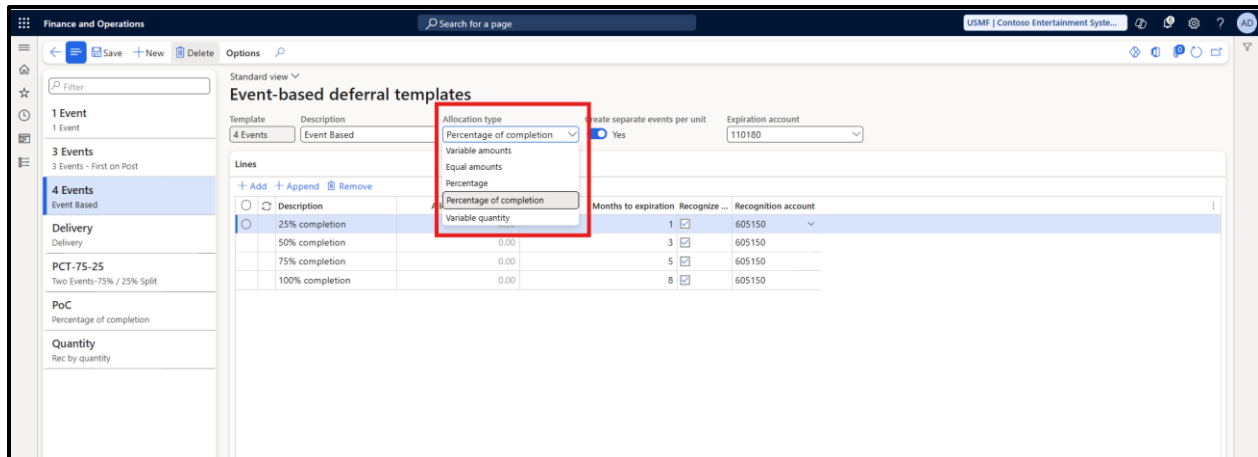
Deferrals Templates (Event based templates using Sales Order)

Setting up templates

Navigation: **Subscription billing > Revenue and expense deferrals > Setup > Event-based deferral templates**

Understanding event based templates

Prepared By: Shubham Das



Allocation type

Allocation type	Description	Example (Subscription Billing – Event-based deferrals)
Variable amount	Allocates a specific amount to each entered line	Allocate different revenue amounts to milestones such as <i>Contract start</i> , <i>Go-live</i> , and <i>Renewal event</i> .
Equal amount	Allocates the same amount to every entered line	Split the total subscription fee equally across multiple service activation events.
Percentage	Allocates amounts based on the percentage specified for each line	Allocate 40% for <i>Service activation</i> and 60% for <i>Customer acceptance</i> .
Percentage of completion	Allocates amounts based on the cumulative completion percentage for each line	Recognize revenue progressively as implementation events reach 25%, 50%, 75%, and 100% completion.
Variable quantity	Allocates a specific quantity to each entered line	Allocate charges based on the number of licensed users activated at each subscription event.

Expiration account

The **Expiration account** is used to recognize deferred amounts **automatically when the deferral period ends**, even if the expected event or recognition trigger has not occurred.

The **Expiration account is intended** to be the posting account when an event line uses an expiration date

Create separate event per unit = 'Yes'

The screenshot displays the 'Sales order' form in the 'Finance and Operations' application. The order is for 'Contoso Retail San Diego' with a sales order number '000862'. The 'Invoiced' status is indicated. The form is divided into several sections: 'DELIVERY ADDRESS' (Name: Contoso Retail San Diego, Address: 456 Peach Road, San Diego, CA 92114, USA), 'DELIVERY DATE' (Requested ship date: 12/30/2025, Requested receipt date: 12/31/2025), 'DISCOUNTS' (Total discount %: 0.00), 'WAREHOUSE' (Release status: Open, Order fulfillment policy: Open), 'TRANSPORTATION' (Routes: Open, Carrier customer account number: Open), and 'DISTRIBUTED ORDER MANAGEMENT' (DOM Status: Not processed). The 'Sales order lines' table at the bottom shows a single line with a quantity of 3.00, unit 'ea', and a unit price of 1,900.00.

Sales category	CW quantity	CW unit	Revenue s...	Revenue s...	Parent am...	Quantity	Unit	Delivery type	CW deliver...	Adjusted u...	Site	Warehouse	Unit price	Discount	Discount p...
						3.00	ea	Stock		0.00000	1	11	1,900.00		

Total Quantity is three and the Create separate event per unit = 'Yes,' the Deferral schedule will have all the events for each quantity. In our case, 4 events (Event based Deferral template) clubbed with three quantities will generate 12 lines in Deferral schedule as shown below.

The screenshot shows the 'Finance and Operations' application interface. The top navigation bar includes 'Finance and Operations' and a search bar. The main menu on the left has options like 'Accounting', 'Hold', and 'Cancel'. The 'Schedule' tab is active, displaying 'USMF-000000014 : Sales order'. Below this, the 'Schedule lines' table is visible. The table has columns: Line, description, Deferral end date, Expiration date, Amount, Stubbed, Recognized, Recognition account, Recognition date, Journal batch num..., Voucher, and Invoice. Lines 7 through 12 are listed. Line 7 has a 'Recognize' checkbox checked, highlighted by a red box. Below the table, there are 'Credit adjustments' and 'Apply' buttons.

Line	description	Deferral end date	Expiration date	Amount	Stubbed	Recognized	Recognition account	Recognition date	Journal batch num...	Voucher	Invoice
7	5% completion		5/29/2026	570.00			605150-001---				
8	100% completion		8/29/2026	380.00			605150-001---				
9	5% completion	12/30/2025		475.00		✓	605150-001---	12/30/2025	00690	GNJL0011...	
10	10% completion	12/30/2025		475.00		✓	605150-001---	12/30/2025	00690	GNJL0011...	
11	5% completion		5/29/2026	570.00			605150-001---				
12	100% completion		8/29/2026	380.00			605150-001---				

Setting	Result
Create separate events per unit = Yes	Deferral events and revenue recognition schedules are created individually for each unit/quantity.
Create separate events per unit = No	A single set of deferral events applies to the total quantity as a whole.

Lines

Field	Description
Description	Description of the event
Months to Expire	Invoice Date + Months to Expire = Expiration date
Note	Either the Expiration date or Deferral date can be entered. It is not possible to enter both.
Recognize Checkbox	If Yes , revenue will be recognized automatically when the event occurs
Recognition account	The account where the final recognition will post. If Expiration date is blank, recognition will happen in this a

In the above example, the SO-0862 contains three units with a total of \$5700

Standard view * ▾

Transaction deferral

Account number for short-term r...
250600

Account number for short-term ...

Account number for short-term c...
500150

Account name for short-term rev...
Deferred Revenue

Account name for short-term dis...

Account name for short-term co...
Deferred COGS

Revenue recognition account nu...
411200

Discount recognition account nu...

Consumption recognition accoun...
500100

Revenue recognition account na...
Revenue - Products

Discount recognition account na...

Consumption recognition accoun...
COGS - Finished Goods

Schedule

DEFERRALS

Schedule type
☐ Straight line ☒ Event based

EVENT BASED

Template
4 Events

Allocation type
Percentage of completion

Create separate events per unit
☐ Yes

Expiration account

Event Template

+ Insert + Append Delete Recalculate

☐	Description	Expiration date	Completion ...	Completion a...	Allocation pe...	Amour :
☒	25% completion	1/29/2026	25.00	1,425.00	25.00	1,425.00
☐	50% completion	3/29/2026	50.00	2,850.00	25.00	1,425.00
☐	75% completion	5/29/2026	80.00	4,560.00	30.00	1,710.00
☐	100% completion	8/29/2026	100.00	5,700.00	20.00	1,140.00

OK Default Preview

Understanding the Template

The Template has allocation type as Percentage of Completion. This means that whenever a milestone related to a certain completion is accomplished, the revenue recognition will happen.

1st event= 25% completion= $5700 / 4$ which is \$1425. Likewise, the amount calculation takes place for other events. If the Revenue recognition checkbox is enabled, the recognition will automatically happen in the recognition account. If the expiration date is mentioned, and the recognition checkbox is checked, the recognition will automatically happen in the recognition account. However, if expiration date is mentioned and revenue

Prepared By: Shubham Das

recognition checkbox is unchecked, the recognition always happens in the expiration account.

If we check the Deferral schedule, we will find three lines for the first event, one for each quantity of the item.

USMF-000000014 : Sales order

Account number: US-001
 Schedule type: Event based
 Allocation type: Percentage of completion
 Deferral account: 401100-001---

Expiration account: James USMF
 Sales order: 000962
 Recognition type: Credit
 Distribution type: Revenue

Schedule lines

Line	Description	Deferral end date	Expiration date	Amount	Stubbed	Recognized	Recognition account	Recognition date	Journal batch num...	Voucher	Invoice
1	25% completion	12/30/2025		475.00		✓	605150-001---	12/30/2025	00690	GNIL0011...	
5	25% completion	12/30/2025		475.00		✓	605150-001---	12/30/2025	00690	GNIL0011...	
9	25% completion	12/30/2025		475.00		✓	605150-001---	12/30/2025	00690	GNIL0011...	

EXTERNAL REFERENCES

Line number	Unrecognized	Stubbed	Total amount
	2,850.00	0.00	5,700.00

1st event calculation = $5700 / (3 * 4)$ which gives the amount of \$475 (Why $3 * 4$ in denominator - Since this is a separate unit for each quantity is yes and we have a total of 3 units + total % completion is 0.25) If the Revenue recognition checkbox is enabled, the recognition will automatically happen in the recognition account.

Journal voucher | 00690 : Genlrm

Standard view

Display journal lines: All

Date	Voucher	Deferred	Company	Account type	Account	Description	Debit	Credit	Offset com...	Offset account type	Offset account
12/30/2025	GNIL001140		USMF	Ledger	250600-001-		2,850.00		USMF	Ledger	
12/30/2025	GNIL001140		USMF	Ledger	605150-001---			2,850.00	USMF	Ledger	
12/30/2025	GNIL001141		USMF	Ledger	401100-001---	Short-term deferral adjustment	2,850.00		USMF	Ledger	
12/30/2025	GNIL001141		USMF	Ledger	250600-001-	Short-term deferral adjustment		2,850.00	USMF	Ledger	

Why is the amount \$2850?

This is because the posting for the first two events have happened together for all the three units which gives the value $(5700 / 2)$ - as this is a 50% completion)

Prepared By: Shubham Das

Schedule lines												
Recognize Reverse												
☐	Line	Description	Deferral end date	Expiration date	Amount	Stubbed	Recognized	Recognition account	Recognition date	Journal batch n...	Voucher	Invoice
☒	1	25% completion	12/30/2025		475.00		✓	605150-001----	12/30/2025	00690	GNIL0011...	
	2	50% completion	12/30/2025		475.00		✓	605150-001----	12/30/2025	00690	GNIL0011...	
	5	25% completion	12/30/2025		475.00		✓	605150-001----	12/30/2025	00690	GNIL0011...	
	6	50% completion	12/30/2025		475.00		✓	605150-001----	12/30/2025	00690	GNIL0011...	
	9	25% completion	12/30/2025		475.00		✓	605150-001----	12/30/2025	00690	GNIL0011...	
	10	50% completion	12/30/2025		475.00		✓	605150-001----	12/30/2025	00690	GNIL0011...	

For the lines when Recognition is unchecked, the process is same as explained above for different scenarios (Select the line and click on recognize to see the automatic GL posting for recognition)

Coverage in Last Part

Contract termination (All types)

Revenue allocation and MERA

Credit notes for Deferrals